

Employing in Germany

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant German-language contracts meeting Nachweisgesetz documentation duties
- **Monthly payroll** — salary payments in EUR, itemised payslips (Lohnabrechnung) and bank transfers
- **Tax withholding** — Lohnsteuer, solidarity surcharge and church tax (where applicable) remitted on your behalf
- **Sozialversicherung** — health, pension, unemployment and long-term care insurance enrolment and contributions
- **Leave and termination management** — notice periods, entitlements and Kündigungsschutzgesetz risk guidance

Employment Conditions

Contracts & Probation

Employers must document the essential terms of employment in writing (Nachweisgesetz), including duties, location, hours, pay and notice terms. Germany recognises both fixed-term (befristet) and indefinite (unbefristet) contracts. A probationary period (Probezeit) of up to 6 months may be agreed, during which either party may terminate with 2 weeks' notice on any calendar day.

Item	Detail	Legal Basis
Written terms	Duties, location, hours, wages and termination terms	Nachweisgesetz
Fixed-term contract (no reason required)	Max 2 years, renewable up to 3 times within that period	Teilzeit- und Befristungsgesetz (TzBfG)
Probation period	Up to 6 months; 2 weeks' notice either side during probation	§622(3) BGB
Employee protection against dismissal	Applies after 6 months' service in businesses with 10+ employees	Kündigungsschutzgesetz (KSchG)

Working Hours & Overtime

The standard working day is capped at 8 hours (up to 10 hours if averaged back to 8 over 6 months), with a maximum 6-day week under the Working Hours Act (Arbeitszeitgesetz). There is no general statutory overtime premium — enhanced pay for overtime, nights, weekends or public holidays is set by the employment contract or an applicable collective bargaining agreement (Tarifvertrag), where premiums of 25-50%+ are common.

Rule	Detail	Authority
Standard daily limit	8 hours/day, extendable to 10 hours if 6-month average stays at 8	§3 Arbeitszeitgesetz
Rest breaks	30 min after 6 hrs; 45 min after 9 hrs	§4 Arbeitszeitgesetz
Daily rest	11 consecutive hours between shifts	§5 Arbeitszeitgesetz
Overtime premium	Not statutory — governed by contract or Tarifvertrag (commonly 25%+)	Employer/CBA discretion

Minimum Wage (2026)

Germany's statutory minimum wage (Mindestlohn) is set nationally by the Mindestlohnkommission and confirmed by the Federal Ministry of Labour and Social Affairs (BMAS).

Measure	Rate	Notes
Statutory minimum wage	EUR 13.90 / hour	Effective 1 January 2026; rising to EUR 14.60 from 1 January 2027
Full-time monthly equivalent	~EUR 2,409 / month	Based on ~173 hours/month (40-hr week)
Mini-job earnings ceiling	EUR 603 / month	Dynamically linked to the minimum wage

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	Min. 20 working days (5-day week); 24–30 days common in practice	Employer	Statutory minimum under Bundesurlaubsgesetz; full entitlement after 6 months
Maternity Protection (Mutterschutz)	6 wks before + 8 wks after birth (12 wks for multiples/premature)	Health insurance + employer top-up to full net pay	Mandatory rest — working during this period is generally prohibited
Parental Leave (Elternzeit)	Up to 3 years per child, per parent	Unpaid (job-protected)	Elterngeld benefit (~65–67% of net income, capped ~EUR 1,800/month) payable for up to 12–14 months
Sick Pay (Entgeltfortzahlung)	Continued full pay for up to 6 weeks per illness	Employer (100% of salary)	After 6 weeks, health insurance pays Krankengeld (~70% gross, capped at 90% net)
Nursing Care Leave	Up to 10 days (short-term) / 6 months (long-term) per relative	Unpaid, job-protected	Pflegeunterstützungsgeld may apply for short-term leave

★ HERO TIP

Employers must ensure staff can actually take their statutory annual leave — unused leave generally expires 3 months into the following year unless the employer failed to actively remind the employee to take it, in which case case law (following the ECJ's Max-Planck ruling) can require carry-over indefinitely. Track leave requests and reminders carefully to avoid unexpected liabilities on termination.

Payroll, Tax & Contributions

Employer Social Security Contributions (2026)

Contribution	Employer Rate	Notes
Pension Insurance (Rentenversicherung)	9.3%	Half of 18.6% total; ceiling EUR 8,450/month (EUR 101,400/yr)
Health Insurance (Krankenversicherung)	~8.75%	7.3% base + ~1.45% (half of the 2.9% average additional contribution); ceiling EUR 5,812.50/month
Unemployment Insurance (Arbeitslosenversicherung)	1.3%	Half of 2.6% total; same ceiling as pension insurance
Long-term Care Insurance (Pflegeversicherung)	1.8%	Fixed employer share regardless of employee's child status (1.3% in Saxony)
Statutory Accident Insurance (Berufsgenossenschaft)	~1.0–1.5%	100% employer-funded; industry-specific rate set by the relevant BG
Total employer contribution	~21–22%	Representative rate for a standard office employee below contribution ceilings

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Pension Insurance (9.3%)	\$279.00	9.30%
Health Insurance incl. additional contribution (~8.75%)	\$262.50	8.75%
Unemployment Insurance (1.3%)	\$39.00	1.30%
Long-term Care Insurance (1.8%)	\$54.00	1.80%
Statutory Accident Insurance (~1.0%)	\$30.00	1.00%
EOR service fee (HeroForce)	\$600.00	20.00%
Estimated total monthly cost	~\$4,264.50	~142.2%

HeroForce EOR service fee shown at USD \$600 per employee per month, flat rate. Employee deductions (withheld separately) include pension (9.3%), health (~8.75%), unemployment (1.3%), long-term care (1.8–2.4% depending on age/children) and progressive income tax (Lohnsteuer).

Income Tax (Einkommensteuer, 2026)

Income tax is withheld monthly (Lohnsteuer) under a progressive formula (§32a EStG) rather than fixed brackets — the marginal rate rises continuously between zones. The solidarity surcharge (5.5% of income tax) now applies only above an income-tax threshold of roughly EUR 20,350 (single), affecting a minority of earners; church tax (8–9% of income tax) applies only to registered church members.

Annual Taxable Income (EUR, single)	Marginal Rate
Up to 12,348	0% (Grundfreibetrag basic allowance)
12,349 – 69,878	14% rising continuously to 42%
69,879 – 277,825	42% flat (Spitzensteuersatz)
Above 277,825	45% (Reichensteuer)

Termination & Separation

Notice Periods (§622 BGB)

Length of Service	Employer's Notice	Key Rule
Probation (if agreed, max 6 months)	2 weeks, any calendar day	Employee notice is also 2 weeks during probation
Less than 2 years	4 weeks to the 15th or end of the month	Statutory default from day one if no probation is agreed
2 years	1 month to end of month	§622(2) BGB
5 years	2 months to end of month	§622(2) BGB
8 years	3 months to end of month	§622(2) BGB
10 years	4 months to end of month	§622(2) BGB
15 years	6 months to end of month	§622(2) BGB
20 years	7 months to end of month	§622(2) BGB
Employee resignation	4 weeks to the 15th or end of month (standard, regardless of tenure)	Contract/CBA may extend

Severance Pay

Germany has no general statutory severance entitlement. However, once the Kündigungsschutzgesetz applies (6+ months' service, 10+ employees), most contested dismissals are resolved by negotiated severance or a labour court settlement — commonly using the informal "rule of thumb" (Faustformel) of 0.5 month's gross salary per year of service. A statutory severance option also exists under §1a KSchG.

Basis	Typical Amount	Notes
§1a KSchG statutory severance option	0.5 month's salary per year of service	Available only if employer offers it in the dismissal letter and employee doesn't contest
Negotiated/court settlement (Faustformel)	~0.5 month's salary per year of service	Common market practice, not a legal entitlement; varies by case strength

★ HERO TIP

Terminations in Germany are procedurally strict — dismissal must be in writing with a wet-ink signature (no email or fax), and once the Kündigungsschutzgesetz applies, the employer must show a valid reason (personal, conduct, or operational) and follow strict social selection rules for redundancies. Works council consultation is mandatory wherever a Betriebsrat exists. Always route German terminations through your HeroForce EOR before any notice is issued.

Public Holidays 2026

Germany has 9 nationwide public holidays under federal law, plus up to 13 additional regional holidays depending on the Bundesland — Bavaria observes the most (up to 13 in total), reflecting its Catholic traditions.

Date	Holiday	Type
1 January	New Year's Day (Neujahr)	National
3 April	Good Friday (Karfreitag)	National
6 April	Easter Monday (Ostermontag)	National
1 May	Labour Day (Tag der Arbeit)	National
14 May	Ascension Day (Christi Himmelfahrt)	National
25 May	Whit Monday (Pfingstmontag)	National
3 October	German Unity Day (Tag der Deutschen Einheit)	National
25 December	Christmas Day (1. Weihnachtstag)	National
26 December	Boxing Day (2. Weihnachtstag)	National

Regional additions in 2026 include Epiphany (6 Jan) in Baden-Württemberg, Bavaria and Saxony-Anhalt; Corpus Christi (4 June) in several southern/western states; Reformation Day (31 Oct) in nine northern/eastern states; and All Saints' Day (1 Nov) in five western/southern states. Confirm the employee's registered work location before finalising a leave calendar.

Ready to hire in Germany?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Germany employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month.